

**SECURE ELECTRONIC TECHNOLOGY PLC
(RC 372333)
UNAUDITED FINANCIAL STATEMENT
FOR THE HALF YEAR ENDED 30TH JUNE, 2026**

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CORPORATE GOVERNANCE

Introduction

Secure Electronic Technology Plc is committed to the highest standards of corporate governance in all its activities. It recognises that good corporate governance is fundamental to earning and retaining the confidence of its stakeholders. The company therefore conducts its business with integrity and pays due regard to the legitimate interest of its stakeholders. In line with the code of best practice in corporate governance, the board have established the following committees:

Board of Directors

The Board comprises thirteen members which include the chairman, eleven non executive directors and One Executive Director. The Board is responsible to assess the overall direction and strategy of the business and ensuring accountability of the organisation to its investors. It ensures that the activities of the company are at all times executed within the applicable and regulatory framework.

Audit Committee

In accordance with section 404(3) of the Companies and Allied Matters Act 2020, members of the audit committee comprise two directors and three shareholders. It is chaired by non executive director. The audit committee assists the board of directors in monitoring the integrity of the financial statements. The committee in the conduct of its affairs reviews the overall risk management and control system of the company.

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STATEMENT OF ACCOUNTING POLICIES

A summary of the principal accounting policies, all of which have been consistently applied throughout the current and preceding years, is set out below:

Basis for the Preparation of Accounts

These financial statements of the company have been prepared in accordance with the International Financial Reporting Standards (IFRS) as issued by the International Accounting Standard Board (IASB) and in conformity with the Financial Reporting Council (FRC) of Nigeria Act 2011 and the companies & Allied Matters Act 2020. These Financial Statements are prepared in accordance with the going concern principle under the historical cost basis other than financial assets designated as fair value through profit or loss and held for trading instruments, which are measured at fair value.

Turnover

Turnover represents the value of Lottery tickets and gaming products.

Property, Plant and Equipment

- I. Property, Plant and Equipment are stated at cost less accumulated depreciation. Cost Includes expenditure that is directly attributable to the acquisition of the asset.
- II. The costs of the day-to-day servicing of Property, Plant and Equipment are recognized in the Statement of Comprehensive Income as incurred.
- III. On disposal of previously revalue Property, Plant and Equipment, an amount equal to the revaluation surplus attributable to that asset is transferred from revaluation reserve to revenue reserve
- IV. Property, Plant and Equipment being constructed or developed for future use are disclosed as assets in progress.
- V. Gains or losses on the disposal of Property, Plant and Equipment are determined by reference to their carrying values and are included in the Statement of Comprehensive Income.

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Depreciation of Property, Plant and Equipment

Depreciation is calculated to write off the cost or valuation of Assets on a straight-line basis over the estimated useful lives of the assets concerned. Leased assets are depreciated over the shorter of the lease term and their useful lives. Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is derecognised or classified as held for sale in accordance with IFRS 5 Non-Current Assets Held for Sale and discontinued operations. The estimated useful lives for the assets and principal annual rates used for this purpose are as follows:

Leasehold Improvements	-	2% or period of lease, whichever is lower
Furniture and Fittings	-5yrs	20%
Motor Vehicles	-4yrs	25%
Generator	-4yrs	25%
Terminals and Equipment	-20yrs	5%
Office Equipment	-4yrs	25%
Computer Equipment	-20yrs	5%
Draw Machine	-5yrs	20%

Write Down

If there are indications of impairment in value for tangible fixed assets the recoverable amount will be estimated for the fixed assets to calculate possible write down.

The recoverable amount of an asset or cash generating unit is the higher of its fair value less costs to sell and its value in use. In assessing the value in use the estimated future cash flows are discounted to the present value by means of a discount rate before tax that reflects the current market assessments of the time value of money and risk that is specific to the asset. If the recoverable amount for a fixed asset or cash generating unit is estimated to be lower than the carrying value, the carrying value of the fixed asset will be reduced to the recoverable amount. If impairment in value subsequently reverses, the carrying value of the fixed asset will be increased to the revised estimate of the recoverable amount, but limited to the value that would be the carrying value if the fixed asset had not been written down in an earlier year.

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Recognition and Measurement

Purchases and sales of investments are recognised on the trade date, which is the date on which the company commits to purchase or sell the asset. Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Investments are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the company has transferred substantially all risks and rewards of ownership. Available for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method.

Realised and unrealised gains and losses arising from changes in the fair value of the 'financial assets at fair value through profit or loss' category are included in the income statement in the period in which they arise.

Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but excludes borrowing costs. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method less provision for impairment. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. Significant financial difficulties of the debtor, probability that debtor will enter bankruptcy and default or delinquency in payment (more than 30 days overdue), are the indicators that trade receivable is impaired. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the income statement within administrative costs. When a trade receivable is uncollectible, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written off are credited against administrative costs in the income statement. The amount of the provision is the difference between the carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate

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Provisions, Contingent Liabilities and Contingent Assets

Provisions are liabilities that are uncertain in timing or amount.

Provisions are recognised when: the company has a present legal or constructive obligation as a result of past events; it is more likely than not that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated.

Provisions are normally made for restructuring costs and legal claims.

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company has a present obligation as a result of past but is not recognised because it is not likely that an outflow of resources will be required to settle the obligation; or the amount cannot be reliably estimated. Contingent liabilities normally comprise of legal claims under arbitration or court process in respect of which a liability is not likely to eventuate.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the company. A contingent asset is not recognised rather they are disclosed in the financial statements when they arise.

Retirement Benefits

The company operates a funded, Contributory Retirement Benefit Scheme. Contributions to the scheme, which are compliant with the Pension Reform Act 2014, are based on transport, housing and basic allowances in the ratio 8% by the employee and 10% by the employer. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to the employee service in the current and prior periods. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the company and employees. The company contributions to these schemes are recognised as employee benefit expense in the period to which they relate.

Payables

Payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

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Share capital

Ordinary shares are classified as equity. Share issue costs net of tax are charged to share premium account.

Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

Current and Deferred Income Tax

Income tax expense is the aggregate of the charge to the profit and loss account in respect of current income tax and deferred income tax.

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the relevant tax legislation.

Education tax is provided at 3% of assessable profits of companies operating within Nigeria

Deferred income tax is provided in full, using the liability method, on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit nor loss, it is not accounted for. Current and deferred income tax is determined using tax rates and laws enacted or substantively enacted at the balance sheet date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the company and it is probable that the temporary difference will not reverse in the foreseeable future

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Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of Transaction costs) and the redemption value is recognised in the profit and loss account over the period of the borrowings, using the effective interest method.

Provisions

A provision is recognised if, as a result of a past event, the Company has present obligations (legal or constructive) that can be reliably estimated and it is probable that an outflow of economic benefits will be required to settle such obligation.

Provisions are reviewed at each balance sheet date and the level reflects the best estimate of the obligation. If there is a substantial time effect the obligation will be accounted for at the present value of future obligations.

Unclaimed Dividends

Unclaimed dividends are amounts payable to shareholders in respect of dividends previously declared which have remained unclaimed by the shareholder. In compliance with Section 429 of the Companies and Allied Matters Act 2020, unclaimed dividend after twelve (12) years are transferred to revenue reserves.

Segment Reporting

A segment is a distinguishable component of the Company that is engaged either in providing related products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and returns that are different from those of other segments.

Segment information is presented in respect of the Company's business and geographical segments, where applicable. The Company's primary format for segment reporting is based on geographical segments. The geographical segments are determined by management based on the Company's internal reporting structure

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

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Use of Accounting Estimates and Assumptions

The preparation of the financial accounts in accordance with IFRS requires that the management make assessments, estimates and assumptions that affect the application of accounting policies and the carrying amounts for assets and liabilities on the balance sheet date, as well as reported revenues and costs for the period. Accounting estimates are used to determine the reported amounts, expected life of tangible assets and taxes. Even though these estimates are based on the management's assessments and prior experience, current events and actions, the actual results may differ from these estimates. The estimates and assessment will be reviewed regularly and any change will be recorded.

Research and Development Cost

Research costs are recognised on a current basis. Research is an internal process that does not give rise to independent intangible assets that generate future economic benefits. Costs related to development activities will be recorded on the balance sheet if the product or process is technically and commercially feasible and the company has adequate resources to complete the development. Capitalised development costs are recorded on the balance sheet at historical cost, less any accumulated depreciation and write-downs. Capitalised development costs are depreciated by the linear method over the estimated useful life of the asset.

Financial Risk Management

Risk management is performed by a central finance department in accordance with guidelines approved by the Board of Directors. The Board of Directors lays down principles for general financial risk management, in addition to guidelines that cover specific financial risks.

Financial Assets

Classification

The company classifies its financial assets in the following categories at fair value through profit or loss, loans and receivables. The classification is dependent on the purpose for which the asset is acquired which is determined by management at time of purchase.

Financial Assets at Fair Value through Profit and Loss

This category has two sub-categories: financial assets held-for-trading and those designated at fair value through profit or loss at inception. Included in these sub-categories are the Company's investment into hedge and property funds, securities held as part of the Company's stock broking activities, and debt and equity instruments held by the hedge funds.

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All financial assets that are held by the Company to back life assurance and investment contract liabilities are designated by the Company on initial recognition as fair value through profit and loss in order to reduce an accounting mismatch, if they do not meet the requirements in terms of IAS 39 to be classified as held-for-trading.

Loan and Receivables

Loans and Receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those which the Company has classified upon initial recognition as at fair value through profit and loss. Included in this category are loans and receivables, trade and other receivables, amount receivable in respect of stock broking and cash and cash equivalents.

Measurement

Purchases and sales of financial assets are recognised on the trade date, which is when the Company commits to purchase or sell the assets. Other financial assets are recognised when the entity becomes party to the contractual provisions of the agreement.

All financial assets are initially measured at fair value plus, in the case of financial assets not measured at fair value through profit and loss, transaction costs that are directly attributable to their acquisition. Transaction costs incurred in the acquisition of financial assets measured at fair value through profit or loss are expensed in profit or loss.

After initial recognition, the Company measures financial assets held-for-trading or designated at fair value through profit and loss, at fair values without any deduction for transaction costs it may incur on their disposal.

The fair value of quoted financial assets is their mid-price at the financial year-end. If the market for a financial asset is not active or the instrument is an unlisted instrument, the value is estimated using valuation techniques. These include the use of prices and other relevant information generated by market transactions involving identical or similar assets, liabilities or a group of assets and liabilities and discounted cash flow analysis. Where discounted cash flow analysis are used, estimated future cash flows are based on management's best estimates and the discount rate is a market related rate at the financial year-end for a financial asset with similar terms and conditions. Where other pricing models are used, inputs are based on observable market indicators at the financial year-end. If the value of unlisted equity instruments cannot be reliably measured, which would be the case in very limited circumstances, they are measured at cost.

Realised and unrealised gains and losses arising from changes on the fair value of financial assets at fair value through profit or loss are included in profit or loss in the period in which they arise.

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Loans and Receivables

Loans and receivables are subsequently measured at amortised cost using the effective interest method, less impairment losses which are recognised in profit or loss. In the case of short term and trade receivables, the impact of discounting is not material and cost approximates amortised cost.

Impairment

Financial assets, other than those held-for-trading and designated as at fair value through profit or loss are reviewed at each financial year-end to determine whether there is objective evidence of impairment. If any such indication exists, the recoverable amount is estimated and the carrying value is reduced to the estimated recoverable amount and the impairment loss is recognised in profit or loss.

Loans and Receivables

Loans and receivables carried at amortised cost are impaired if there is objective evidence that the Company will not receive cash flows according to the original contractual terms. Default or delinquency in payment and significant financial difficulties are considered indicators that the receivable is impaired. The impairment is calculated as the difference between the carrying value of the asset and the expected cash flows discounted at the original effective rate. The resulting loss is accounted for as impairment in profit or loss. With regards to trade and other receivables an allowance for impairment is established when there is objective evidence that the company will not be able to collect all amounts due according to the terms of the receivables. The amount of the allowance is the difference between the asset's carrying value and the present value of the estimated future cash flow discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss. When a trade receivable is uncollectible, it is written off against the allowance account for trade receivables. Subsequently recoveries of amounts previously written off are recognised in the profit or loss as bad debts recovered.

Derecognition

Financial assets are derecognised if the Company's contractual rights to cash flows from the financial assets expire or if the Company transfers the financial asset to another party without retaining control or substantially all the risks and rewards of the asset or in which the Company neither transfers nor retains substantially all the risks and rewards of ownership and it does not retain control over the financial asset.

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Offsetting

Financial assets and liabilities are offset and the net amounts presented in the statement of financial position when and only when, the Company has a legal right to offset the amounts and intends either to settle on a net basis or to realise or to realise the asset and settle the liability simultaneously.

Transfers

The Company recognises transfers between levels of the value hierarchy at the end of the reporting period during which the change has occurred.

Financial Liabilities

All financial liabilities are initially recognised at fair value plus transaction costs incurred other than financial liabilities classified as at fair value through profit or loss at inception.

Classification and Measurement

Financial Liabilities at Fair Value through Profit or Loss

This category has two sub-categories: financial liabilities held-for-trading and those designated at fair value through profit or loss at inception:

Held-For-Trading

These comprise securities held as part of the Company's stock broking activities and debt equity instruments held by the hedge funds. These financial liabilities are subsequently measured at fair value with all fair value movements recognised in profit or loss.

Designated at Inception

Included in this category of financial liabilities are net assets attributable to outside investors of the hedge funds.

The net assets attributable to outside investors of the hedge fund represent their share of the net asset value of the underlying funds.

Investment contracts are recognised as financial liabilities in the statement of financial position when the Company becomes party to their contractual provisions. Contributions received from policy holders are not recognised in profit or loss but are accounted for as deposits.

All investment contracts issued by the Company are designed by the company on initial recognition as at fair value through profit or loss. This designation eliminates or significantly reduces a measurement inconsistency that would otherwise arise if these financial liabilities were not measured at fair value since

The assets held to back the investment contract liabilities are also measured at fair value.

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Changes in the fair value of investment contracts are included in profit or loss in the period in which they arise.

Fair value measurement of investment contract liabilities is based on the fair value of the financial assets held within the appropriate unit-linked funds less the tax anticipated to be paid on investment gains.

Financial Liabilities Measured at Amortised Cost

These comprise loans and payables and trade and other payables. These financial liabilities are initially recognised at fair value, net of transaction costs and subsequently measured at amortised cost using the effective interest method. In the case of short-term payables, the impact of discounting is not material and cost approximates amortised cost.

Included within the loans and other payables are written put options over which the company does not have the unconditional right to avoid the delivery of cash. The Company classifies these shares as a liability and the value is assessed based on the price determined in a signed agreement between the parties. The value of the liability is discounted to the exercise date based on the cost of borrowing, which discount will be released back to profit or loss as an interest expense over the period to the exercise date.

Derecognition

Financial liabilities are derecognised if the Company's obligations specified in the contract expire or are discharged or cancelled.

Functional and Presentation Currency

The financial statements are presented in Nigeria Naira (NGN), which is the company's Functional Currency. All financial information presented in Nigeria Naira has been rounded to the nearest thousand unless otherwise stated.

Foreign Currency Transactions

Foreign currency transactions are translated into Naira using the exchange rates prevailing at the dates of transactions or valuations where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the income statement, except when deferred in other comprehensive income as qualifying cash flow hedges and qualifying net investment hedges.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the income statement within 'finance income or cost'. All other foreign exchange gains and losses are presented in the income statement within 'other gains / (losses) – net'.

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Security Trading Policy

Our Organization has established a policy made known to employees and directors on the handling of insider or material information about the Company (issuer), and confidentially against external advisers, in compliance with Rule 17.15 of the Rulebook of the Exchange, 2015 (issuers' Rules). This is available on the website.

Reporting Entity

Secure Electronic Technology Plc is a company domiciled in Nigeria. The address of the company register office is at No 107, Bamgbose Street, Lagos Island, Lagos. This is the company's unaudited financial statements for the quarter ended 30th June, 2026. The activities of the company have been Lottery and gaming products.

National Sports Lottery Limited was incorporated on 3rd January, 2000 but commenced operations in July, 2001. On the 9th July, 2011 the name National Sports Lottery Limited was by special resolution converted to a Public Company, National Sports Lottery Plc. The company was granted an exclusive license to carry out the business of lottery in Nigeria in December, 2001. The Company listed its entire Share Capital on the Nigerian Stock Exchange on 14th December, 2011. On the 2nd December, 2011 the Board of Directors through Special Resolution changed the name of the Company from National Sports Lottery Plc to Secure Electronic Technology Plc and this was approved by Corporate Affairs Commission (CAC) on 6th January, 2012.

1. ORGANIZATIONAL OVERVIEW

Introduction

Secure Electronic Technology Plc (SET Plc) is a licensed lottery and gaming operator in Nigeria. SET Plc runs a secure, technology-driven gaming platform that delivers entertainment while contributing to national and community development. The company remains guided by its mission to provide responsible gaming experiences and its vision to lead in innovation, transparency, and impact. Over the FY 2025 and update on H1 2026 reporting cycle, SET Plc intend to deepened this commitment by embedding sustainability more formally into its corporate strategy, governance oversight, and day-to-day operations.

Scope and Boundaries

This report covers SET Plc's activities and ESG performance from January 1, 2025 to June 30, 2026. The report includes environmental data, community engagement efforts, workforce initiatives, and governance structure applicable to SET Plc's operations across Nigeria.

Stakeholder Engagement

SET Plc actively engages stakeholders through various channels:

- Employees: town hall meetings, training feedback, and an enhanced internal staff engagement survey introduced in FY2025
 - Regulators: compliance reports, audits, and periodic engagement with the state lottery regulators
 - Customers: feedback via platforms and social media, supported by a new customer care escalation channel
 - Communities: project consultations, donations, and expanded community needs-assessment visits
 - Investors: annual general meetings and quarterly updates
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2. ENVIRONMENTAL PERFORMANCE

Impact Assessment

SET Plc's operations remain largely digital, sustaining a relatively low environmental footprint. SET Plc continues to monitor its environmental footprint. During FY2026, the Company implemented initiatives aimed at reducing electricity consumption, paper usage, and operational waste. A formal environmental data collection framework has been established to enable accurate measurement and reporting of greenhouse gas emissions, energy consumption, water use, and waste generation in future reporting periods.

Mitigation Strategies

SET Plc sustained and expanded its environmental mitigation strategies during the reporting cycle:

- Continued the remote and hybrid work model for eligible operational roles.
- Expanded motion-sensor lighting to all remaining office areas.

- Completed migration of an additional tranche of internal systems to cloud infrastructure, reducing on-premises server energy use.
 - Introduced a paperless documentation policy across HR, staff collaborations and governance functions using Slack.
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3. SOCIAL PERFORMANCE

Workforce Impacts

SET Plc's workforce increased to 70 staff members, with a gender distribution of 58% women and 42% men, reflecting continued progress on gender balance from the prior year. The company continued its investment in workforce development and inclusion through:

- Expansion of the mentorship program introduced in the prior cycle, with a formal structure now covering all junior staff.
- Delivery of an average of 15 hours of training per employee across topics such as cybersecurity, compliance, responsible gaming, and professional development.
- Sustained 100% health insurance coverage through a partner HMO provider.
- Maintenance of a zero lost-time injury rate for a second consecutive reporting cycle.
- Introduction of an employee wellness initiative, including periodic health screenings and mental-health awareness sessions.

Community Engagement

SET Plc continued to invest in community-focused initiatives during the reporting cycle, building on the projects delivered in the prior year, including:

- Continued support for community power infrastructure needs.
- Sustained the senior citizens' monthly support stipend programme, with additional beneficiaries' on boarded.
- Extended medical support to additional community members requiring urgent surgical and specialist care.
- Launched a new education support initiative providing scholastic materials to underserved schools within host communities.

Value Chain Impacts

SET Plc continued to extend responsible business practices to its supply chain. Key actions taken during the reporting cycle include:

- Continued implementation of the Responsible Sourcing Policy across all technology vendors and service providers.
- Expansion of compliance audits to cover a wider pool of key suppliers, verifying alignment with fair labor practices and occupational health and safety standards.
- Continued encouragement of suppliers to adopt local content development by sourcing materials and talent from within Nigeria.

4. GOVERNANCE

Board and Management Structure

During the reporting period, Secure Electronic Technology Plc strengthened its corporate governance framework through changes in the composition of its Board of Directors. The Board continued to provide strategic leadership, oversight of risk management, regulatory compliance, and sustainability performance in line with the Company's long-term objectives.

During the year, **Dr. Odunlami Kola-Daisi** resigned as Chairman of the Board following his decision to step down from the Board. The Board expresses its sincere appreciation to Dr. Kola-Daisi for his leadership, guidance, and valuable contributions to the growth and governance of the Company during his tenure.

Following the transition, the Board appointed **Mrs. Nwadiuto Iheakanwa** as the new Chairman of the Board, while **Mr. Akin Areola** was appointed Vice Chairman. The appointments reflect the Company's commitment to strong corporate governance, leadership continuity, diversity, and effective oversight.

The Board, supported by its various committees, continues to oversee corporate strategy, enterprise risk management, financial stewardship, regulatory compliance, and the integration of environmental, social, and governance (ESG) principles into the Company's operations.

Board Committees

- Audit & Risk Committee
- Governance and Compensation Committee
- Finance and Growth multipurpose Committee

These committees continued to support the Board by providing oversight in their respective areas of responsibility and ensuring that sustainability considerations remain embedded within the Company's decision-making processes.

Ethical Conduct and Compliance

SET Plc continued to foster a culture of ethics, integrity, and transparency:

- The company continued to apply its revised Code of Ethics, reinforcing standards introduced in the prior cycle.
- 100% of employees completed annual training in anti-corruption, data privacy, and responsible gaming practices.
- The company maintained full compliance with all applicable lottery regulations, including periodic audits by regulatory bodies.

Risk Management

SET Plc's Enterprise Risk Management (ERM) framework continues to embed sustainability as a core pillar. During the reporting cycle, the following key ESG-related risks were identified and addressed:

Risk Category	Description	Mitigation Strategy
Regulatory Uncertainty	Continued state-by-state variance in lottery regulation following the Supreme Court judgment on NLRC jurisdiction	Ongoing state-by-state compliance strategy, supported by dedicated regulatory affairs monitoring
Data Security	Continued rise in digital fraud attempts targeting gaming platforms	Continued investment in cybersecurity infrastructure, staff training, and AI-powered fraud detection
Public Perception	Risks to brand trust arising from problem gambling concerns	Continued rollout of responsible gaming education and expanded consumer communication channels
Talent Retention	Increased competition for skilled technology and compliance personnel	Enhanced mentorship, training, and benefits programmes to support retention

The Board continued to review and update the risk register bi-annually, integrating environmental and social risk metrics into overall risk assessment protocols.

5. ECONOMIC PERFORMANCE

Financial Results

SET Plc's financial performance for FY2025 and H1 2026 is summarized below. Figures will be finalized in line with the company's audited financial statements and statutory filings to regulators.

Indicator	FY 2025	H1 2026 (Jan–Jun)
Revenue	N4,242,719,000.00	N1,952,738,000.00
Net Profit	(N166,793,000.00)	(N32,166,000.00)
Return on Equity	(N2.96)	(N1.33)

Economic Value Added

SET Plc continued to contribute positively to Nigeria's socio-economic development:

- Continued support of over 1,100 indirect jobs through a nationwide retail agent network, reflecting growth in the agent base during the reporting cycle.
- Continued operation of the performance-based agent bonus scheme, sustaining job satisfaction and economic stability for grassroots operators.
- Introduction of a new agent training academy to improve retail service quality and compliance awareness.

Sustainable Investments

In line with its sustainability objectives, SET Plc made the following strategic investments during the reporting cycle:

- Continued upgrade of lottery platform infrastructure with enhanced AI-powered fraud detection systems.
- Completion of the transition of office operations to energy-efficient appliances and cloud-based data storage.

6. MATERIALITY AND REPORTING PRINCIPLES

Materiality Assessment

In November 2025, SET Plc reviewed its business operations to reconfirm which sustainability topics remain most material to its business.

The top 4 material topics identified were:

Priority Area	Description
Responsible Gaming	Promoting ethical gaming, preventing addiction, and protecting vulnerable users
Community Impact	Deepening social investments in education, sports, and healthcare
Digital Security	Strengthening cybersecurity and customer data protection
Climate Resilience	Reducing energy use, minimizing e-waste, and transitioning to sustainable infrastructure

These priorities continued to shape the company's environmental goals, community projects, and governance upgrades throughout the reporting period.

Reporting Principles

SET Plc continues to align its sustainability disclosures with recognized frameworks to ensure transparency, consistency, and comparability.

Frameworks Referenced:

- Global Reporting Initiative (GRI) – Core Option
- Sustainability Accounting Standards Board (SASB) – Consumer Services
- Nigeria Exchange (NGX) Sustainability Disclosure Guidelines
- SET Plc also continued to voluntarily adopt elements from the Task Force on Climate-Related Financial Disclosures (TCFD) to guide its environmental risk assessment.

Transparency and Accuracy

ESG data was reviewed internally by the Risk and Compliance Unit and validated by departmental heads.

No material restatements of previous disclosures were required during this reporting cycle.

Stakeholder Engagement in Reporting

Throughout this reporting cycle, SET Plc:

- Held quarterly stakeholder feedback sessions (virtually and in-person).
- Used findings to further refine its community giving strategy and improve digital customer experience.

Next Steps (Looking Ahead to 2027)

SET Plc has outlined key milestones to further embed sustainability into its core business strategy:

Goal	Timeline
Publish the Responsible Gaming Charter implementation review	Q4 2026
Deploy the ESG Dashboard developed in Q1 2026 across all departments	Q1 2027
Conduct a second third-party Sustainability Audit	H2 2027
Fully integrate ESG metrics into staff performance reviews company-wide	FY2027



...gaming Entertainment Empowerment

RC NO: 372333

Half Year Report and Financial Statements for the period ended 30 June 2026

Certification of Management assessment on internal control over financial reporting,

To comply with the provisions of section 1.1 of SEC Guidance on implementation of sections 60-63 of investments and Securities Act 2007, I hereby make the following statements regarding the internal Controls of SET Plc for the period ended 30 June 2026:

I, Tosin Ajewole, certify that:

I have reviewed this management assessment on internal control over financial reporting of Secure Electronics Technology Plc;

Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

- a) Based on my knowledge, the financial statements and other financial information included in this report fairly present in all material respects the financial conditions, results of operations, and cash flows of the entity as of and for, the periods presented in this report;
- b) I am responsible for:
 - Establishing and maintaining internal controls
 - Have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity is made to us by others within those entities, particularly during the period in which this report is prepared;
 - Have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - Have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- c) I have disclosed, based on our most recent evaluation of the internal controls system, to the entity's auditors and the audit committee of the entity's board of directors(or persons performing the equivalent functions):
 - All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize, and report financial information;
 - and
 - Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.
- d) I have identified in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Name: Tosin Ajewole

Designation: Financial Controller:

FRC NO: FRC/2019/ICAN/00000019837

Signature:

Secure Electronic Technology Plc.

Agbeke House 107, Bamgbose, Lagos Island.

www.setplc.com





...gaming Entertainment Empowerment

RC NO: 372333

Half Year Report and Financial Statements for the period ended 30 June 2026

Certification of Management assessment on internal control over financial reporting,

To comply with the provisions of section 1.1 of SEC Guidance on implementation of Sections 60-63 of investments and securities Act 2007, I hereby make the following statements regarding the internal controls of SET Plc for the period ended 30 June 2026:

I, Olusoji Oyeyemi, certify that:

- e) I have reviewed this management assessment on internal control over financial reporting of Secure Electronic Technology Plc;

Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in the light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;

Based on my knowledge, the financial statements and other financial information included in this report fairly present in all material respects the financial conditions, results of operations, and cash flows of the entity as of and for the periods presented in this report;

I am responsible for:

Establishing and maintaining internal controls;

Have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the entity is made to us by others within those entities, particularly during the period in which this report is being prepared;

- Have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
- Have evaluated the effectiveness of the entity's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.

- f) I have disclosed, based on our most recent evaluation of the internal controls system, to the entity's auditors and the audit committee of the entity's board of directors (or persons performing the equivalent functions):

- All significant deficiencies and material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the entity's ability to record, process, summarize, and report financial information;

and

- Any fraud, whether or not material, that involves management or other employees who have a significant role in the entity's internal control system.

- g) I have identified in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of their evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

Name: Olusoji Oyeyemi

Designation: Managing Director

FRC NO: FRC/2022/PRO/DIR/003/897824

Signature:

Date: 15 July 2026

Secure Electronic Technology Plc.

Agbeke House 107, Bamgbose, Lagos Island.

www.setplc.com



SECURE ELECTRONIC TECHNOLOGY PLC
STATEMENT OF FINANCIAL POSITION AS AT 30TH JUNE 2026

		Jun-26	Dec-25	Jun-25
		Unaudited	Audited	Unaudited
		N'000	N'000	N'000
ASSETS				
Non-Current Assets:	Notes			
Property, plant and equipment	1	1,045,146	1,063,428	1,091,826
Intangible assets	1	2,174,011	2,239,600	2,426,778
Deferred Income Tax Asset	2	995,221	995,221	995,221
		4,214,378	4,298,249	4,513,825
Current Assets:				
Trade and other receivables	3	141,699	128,756	173,400
Prepayments	1	-	466	7,367
Cash and Bank Balances	4	61,932	20,510	71,054
		203,631	149,732	251,821
TOTAL ASSETS		4,418,009	4,447,981	4,765,647
EQUITY				
Equity attributable to owners:				
Share Capital	5	2,815,770	2,815,770	2,815,770
Revaluation Reserves		3,581,013	3,581,013	3,660,553
Accumulated loss	6	(2,833,460)	(2,801,359)	(2,890,509)
TOTAL EQUITY		3,563,323	3,595,424	3,585,814
LIABILITIES				
Non-Current Liabilities:				
Borrowings	7	310,650	310,649	560,650
Current Liabilities:				
Trade and other Payables	8	21,877	19,750	78,080
Current Income Tax	9	522,159	522,158	541,103
		544,036	541,908	619,183
TOTAL LIABILITIES		854,686	852,557	1,179,833
TOTAL EQUITY AND LIABILITIES		4,418,009	4,447,981	4,765,647

The financial statements were approved and authorised for issue by the Board of Directors on 14th July, 2026 and were signed on its behalf by:



.....) Mr. Oyeyemi Olusoji, Managing Director- FRC/2022/PRO/DIR/003/897824



.....) Mr. Ajewole Tosin, Financial Controller- FRC/2019/ICAN/00000019837

SECURE ELECTRONIC TECHNOLOGY PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE HALF YEAR ENDED 30TH JUNE 2026

		UNAUDITED		AUDITED	UNAUDITED	
		2026 3 MONTHS ENDED 30 JUNE 2026	2025 3 MONTHS ENDED 30 JUNE 2025	2025 12 MONTHS ENDED 31 DEC 2025	2026 6 MONTHS ENDED 30 JUNE 2026	2025 6 MONTHS ENDED 30 JUNE 2025
	Notes	N'000	N'000	N'000	N'000	N'000
Gross Income	10	958,615	980,404	4,242,719	1,952,738	2,022,194
Prizes/Winnings	14	(562,502)	(516,383)	(2,324,249)	(1,138,591)	(1,028,910)
Ticket cost	14	(344,360)	(379,078)	(1,598,542)	(703,314)	(794,885)
National lottery trust fund	14	-	(5,946)	-	-	(13,532)
Gross Profit		51,753	78,997	319,928	110,833	184,867
Other Operating Income		11,000	-	19,680	55,001	-
Administrative Expenses		(102,730)	(109,093)	(502,801)	(197,113)	(236,184)
Operating Profit/Loss		(39,976)	(30,096)	(163,193)	(31,279)	(51,316)
Financial Charges	11	(437)		(3,600)	(888)	(4,602)
Profit/Loss before Tax		(40,414)	(30,096)	(166,793)	(32,166)	(55,919)
Tax	9	-	(10,620)	-	-	(18,945)
Profit/Loss After Tax		(40,414)	(40,716)	(166,793)	(32,166)	(74,863)

SECURE ELECTRONIC TECHNOLOGY PLC
CASH FLOW STATEMENTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	NOTES	Jun-26 Unaudited N'000	Dec-25 Audited N'000	Jun-25 Unaudited N'000
Cashflow from operating activities				
Loss before taxation		(32,166)	(166,793)	(48,415)
Add Back :				
Depreciation and amortisation	1	95,262	180,182	95,813
Other non-income item included in profit or loss			12,867	
Adjust for items which are presented separately:				
Changes in working capital				
(Increase)/Decrease in trade receivables and other receivables	3	(12,943)	41,872	(6,055)
(Increase)/Decrease in prepayment		467	7,733	-
Increase/(Decrease) in trade and other payables	8	2,127	(54,328)	5,291
Cash generated from operations		52,746	21,534	46,634
		52,746	21,534	46,634
Tax received				-
Net cash from operating activities		52,746	21,534	
Cashflow from investing activities :				
Purchase of property, plant and equipment	1	(11,390)	(33,679.00)	(3,559)
Net cashflow from investing activities		(11,390)	(33,679)	(3,559)
Cashflow from financing activities:				
Repayment of other liabilities		-	(20,000)	-
Borrowings		-	-	-
Total cash movement for the year		41,356	(32,145)	43,075
Cash & Cash equivalents as at beginning of the year		20,510	52,655	52,654
Prior year adjustments		66		
Cash & Cash equivalents at the end of the year	17	61,931	20,510	95,730

SECURE ELECTRONIC TECHNOLOGY PLC
STATEMENTS OF CHANGE IN EQUITY
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	NOTE	Share Capital N'000	Revaluation Reserve N'000	Accumulated loss N'000	Total Equity N'000
Balance as at 1st Jan. 2024	5,6	2,815,770	2,047,508	(2,444,621)	2,418,657
Loss for the Year		-		(121,025)	-
Balance at 1st Jan. 2025	5,6	2,815,770	3,660,553	(2,634,566)	3,841,757
Revaluation Loss			(79,541)		(79,541)
Loss for the Year				(166,793)	(166,793)
Balance as at 31st Dec. 2025		2,815,770	3,581,012	(2,801,359)	3,595,423
Balance as at 1st Jan. 2026	5,6	2,815,770	3,581,012	(2,801,359)	3,595,423
Prior year adjustments				66	66
Profit for the Period		-		(32,166)	(32,166)
Balance as at 30th June 2026		2,815,770	3,581,012	(2,833,459)	3,563,322

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE FINANCIAL STATEMENTS FOR THE HALF YEAR ENDED 30TH JUNE 2026

1 Property Plant Equipment

	Opening Balance 01/01/2026	Additions	Depreciation charged/Month	Depreciation charged for the Period	Closing Balance 30/06/2026
Office Equipment	98,918.00	1,190,200.00	21,083.33	98,918.00	1,190,200.00
IT Equipment	728,842.00	10,200,000.00	27,666.67	166,000.02	10,762,841.98
Terminal Equipment	1,062,600,000.00	-	4,901,219.46	29,407,316.76	1,033,192,683.24
	<u>1,063,427,760.00</u>	<u>11,390,200.00</u>	<u>4,949,969.46</u>	<u>29,672,234.78</u>	<u>1,045,145,725.22</u>

1 Intangible assets

	Opening Balance 01/01/2026	Additions	Amortisation charged/Month	Amortisation charged for the Period	Closing Balance 30/06/2026
Software	2,239,600,000.00	-	10,931,432.75	65,588,596.51	2,174,011,403.49
	<u>2,239,600,000.00</u>	<u>-</u>	<u>10,931,432.75</u>	<u>65,588,596.51</u>	<u>2,174,011,403.49</u>

1 Prepayment

	Opening Balance 01/01/2026		Prepayment charged/Month	Prepayment charged for the Period	Closing Balance 30/06/2026
Lottery Licence-Delta State	466,666.67	-	466,666.67	466,666.67	-
	<u>466,666.67</u>	<u>-</u>	<u>466,666.67</u>	<u>466,666.67</u>	<u>-</u>

SECURE ELECTRONIC TECHNOLOGY PLC

NOTES TO THE ACCOUNTS

FOR THE HALF YEAR ENDED 30TH JUNE 2026

	Jun-26 Unaudited N'000	Dec-25 Audited N'000	Jun-25 Unaudited N'000
2 DEFERRED TAXATION			
Income Statement Amortisation Charge	-	-	
Balance Brought Forward	995,221	995,221	995,221
Charge for the Year	-	-	-
Balance carried Forward	995,221	995,221	995,221

Income tax deferred as at 31st December, 2025 arose as a result of differences between rates of depreciation adopted for accounting purposes and rates of Capital Allowance granted for tax purposes amounted to ₦995,221,000. The amount represents 30% [the Corporate Income Tax rate] of the difference between the net book value of assets qualifying for the capital allowance and their corresponding income tax written down value.

Deferred tax assets are recognized only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilized. Additional provision was not made in the Financial Statements during the year.

SECURE ELECTRONIC TECHNOLOGY PLC

NOTES TO THE ACCOUNTS

FOR THE HALF YEAR ENDED 30TH JUNE 2026

	Jun-26 Unaudited N'000	Dec-25 Audited N'000	Jun-25 Unaudited N'000
3 TRADE AND OTHER RECEIVABLES			
Trade Receivables	139,937	128,602	107,966
Other Receivables	1,762	153	65,434
	141,699	128,755	173,400
The Carrying amount of accounts receivables and other receivables for 2025 and 2026 approximate to their fair values			
4 CASH AND BANK BALANCES			
Cash	138	13.03	62
Bank	61,794	20,497	70,992
	61,932	20,510	71,054

SECURE ELECTRONIC TECHNOLOGY PLC**NOTES TO THE ACCOUNTS****FOR THE HALF YEAR ENDED 30TH JUNE 2026**

	Jun-26 Unaudited N'000	Dec-25 Audited N'000	Jun-25 Unaudited N'000
5 SHARE CAPITAL			
Minimum Issued Shared Share Capital			
5,631,540,000 Ordinary Shares of 50K each	2,815,770	2,815,770	2,815,770
Paid -up Capital :			
5,631,540,000 Ordinary Shares of 50K each	2,815,770	2,815,770	2,815,770
6 Accumulated loss			
Loss Brought Forward	(2,801,359)	(2,634,566)	(2,565,646)
Prior year adjustments	66		(250,000)
Profit/(Loss) for the period	(32,166)	(166,793)	(74,863)
Loss Carried Forward	(2,833,459)	(2,801,359)	(2,890,510)
7 Non-Current Liabilities:			
Borrowings	310,650	310,649	560,650

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	Jun-26	Dec-25	Jun-25
	Unaudited	Audited	Unaudited
	N'000	N'000	N'000
8 PAYABLES AND ACCRUALS			
Trade Payables	15,407	13,405	8,818
Other Payables	6,470	6,345	39,500
National Lottery Trust Fund	-	-	29,762
	21,877	19,750	78,080

The carrying amounts of trade payables and other payables for 2025 & 2026 respectively approximate to their fair value.

9 TAXATION			
Balance Brought Forward	522,159	522,159	522,159
Tax paid	-	-	-
Provision for the Period	-	-	18,945
Balance Carried Forward	522,159	522,159	541,104

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	UNAUDITED		AUDITED	UNAUDITED	
	2026	2025	Dec-25	2026	2025
	3 MONTHS	3 MONTHS	12 MONTHS	6 MONTHS	6 MONTHS
	ENDED 30 JUNE 2026	ENDED 30 JUNE 2025	ENDED 31 DEC 2025	ENDED 30 JUNE 2026	ENDED 30 JUNE 2025
	N'000	N'000	N'000	N'000	N'000
10 GROSS INCOME					
Gross Sales	958,615	980,404	4,242,719	1,952,738	2,022,194
Gross Income comprises of Lottery Sales and gaming products.					
11 BANK CHARGES					
Interest on Bank Overdraft and Charges	437	521	2,048	888	4,602
12 Retirement Benefit Obligation					
Employers Pension Contribution	2,158	-	-	4,004	-
The company make a Contribution of 10% of Basic Salary,Housing and Transport Allowance to each employees retirement Benefit savings account.					
13 EARNINGS PER SHARE					
Basic earnings per share are calculated by dividing the (loss)/profit attributable to equity holders of the Company by the number of ordinary shares in issue during the year.					
(Loss)/Profit attributable to equity holders of the company (Naira)	(40,414)	(40,716)	(166,793)	(32,166)	(74,863)
Number of ordinary shares in issues (thousand)	5,631,540	5,631,540	5,631,540	5,631,540	5,631,540
Basic earnings per share (Kobo)	(0.72)	(0.72)	(2.96)	(0.57)	(1.33)

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

UNAUDITED		AUDITED		UNAUDITED	
2026	2025	2025	2026	2025	
3 MONTHS	3 MONTHS	12 MONTHS	6 MONTHS	6 MONTHS	
ENDED 30 JUNE 2026	ENDED 30 JUNE 2025	ENDED 31 DEC 2025	ENDED 30 JUNE 2026	ENDED 30 JUNE 2025	
=N= '000	=N= '000	=N= '000	=N= '000	=N= '000	=N= '000

14 OPERATING PROFIT

The following items have been charged/
(credited) in arriving at operating (Loss)/Profit:

Included in cost of sales

Cost of Prizes/Winings

562,502	516,383	2,324,249	1,138,591	1,028,910
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Included in selling and marketing costs

Ticket Cost

344,360	379,078	1,598,542	703,314	794,885
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Included in administrative expenses:

Depreciation on property, plant and equipment

14,822	15,129	58,147	29,672	30,224
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Auditors' remuneration

-	-	3,225	-	225
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Consultancy services

5,849	3,410	59,187	13,198	25,258
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Amortisation

32,794	32,794	122,035	65,589	65,589
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Repairs and maintenance

426	1,078	5,540	997	2,240
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53,891	52,412	248,134	109,456	123,536
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15 EMPLOYEE BENEFITS EXPENSES

The following items are included within employee

Benefits expenses:

Wages and salaries

23,684	45,351	98,102	43,145	45,351
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Staff welfare and CSR

-	625	4,663	-	1,280
---	-----	-------	---	-------

Employers Pension Contribution

2,158	-	-	4,004	-
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NSITF Contribution

229	-	-	444	-
-----	---	---	-----	---

ITF Contribution

229	-	-	423	-
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26,300	45,976	102,765	48,016	46,631
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SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	Jun-26	Dec-25	Jun-25
	Number	Number	Number
16 NUMBERS			
Key Management Personnel	8	8	8
Other Management Personnel	47	23	19
Staff Personnel	15	20	15
	70	51	42

Average Cost per Staff

The table below shows the number of employees excluding directors who earned over

N50,000 as emoluments in the year and were within the bands stated.

	Jun-26	Dec-25	Jun-25
	Number	Number	Number
50,001-100,000	0	0	0
100,001-200,000	0	0	0
200,001-300,000	0	0	0
300,001-400,000	0	1	0
400,001-500,000	0	9	0
500,001-600,000	7	7	7
600,001-700,000	0	0	0
700,001-800,000	7	3	7
800,001-900,000	6	0	6
900,001-1,000,000	9	13	9
1,000,001 and above	41	18	13
	70	51	42

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	Unaudited	Audited	Unaudited
	Jun-26	Dec-25	Jun-25
	N'000	N'000	N'000
17 CASH AND CASH EQUIVALENTS			
these comprises:			
Cash Balance	138	13	62
Bank Balance	61,794	20,497	70,992
	61,932	20,510	71,054
18 CHAIRMAN'S & DIRECTORS EMOLUMENTS/STAFF			
a) Emoluments-Chairman			
-Other Directors			
-Directors Allowance	-	25,050	11,400
	-	25,050	11,400
b) Staff Costs			
Salaries, Wages and Allowance	23,684	98,102	45,351
Employers Pension Contribution	2,158	-	-
NSITF Contribution	229	-	-
ITF Contribution	229	-	-

SECURE ELECTRONIC TECHNOLOGY PLC
NOTES TO THE ACCOUNTS
FOR THE HALF YEAR ENDED 30TH JUNE 2026

19 Reporting Entity

a). The Company

National Sports Lottery Limited was incorporated on 3rd January, 2000 but commenced operations in July, 2001.

On the 9th July, 2011 the name National Sports Lottery Limited was by special resolution converted to a Public

Company, National Sports Lottery Plc. The company was granted an exclusive license to carry out the business of lottery in Nigeria for Fifteen (15) years in December, 2001. The Company listed its entire Share Capital on the Nigerian Stock Exchange on 14th December, 2011. On the 2nd December, 2011 the Board of Directors through Special

Resolution changed the name of the Company from National Sports Lottery Plc to Secure Electronic Technology Plc and this was approved by Corporate Affairs Commission (CAC) on 6th January, 2012.

SECURE ELECTRONIC TECHNOLOGY PLC
DETAILED STATEMENT OF COMPREHENSIVE INCOME
FOR THE HALF YEAR ENDED 30TH JUNE 2026

	UNAUDITED				AUDITED		UNAUDITED			
	2026		2025		2025		2026		2025	
	3 MONTHS		3 MONTHS		12 MONTHS		6 MONTHS		6 MONTHS	
	ENDED 30 JUNE 2026		ENDED 30 JUNE 2025		ENDED 31 DEC 2025		ENDED 30 JUNE 2026		ENDED 30 JUNE 2025	
	=N='000	=N='000	=N='000	=N='000	=N='000	=N='000	=N='000	=N='000	=N='000	=N='000
Gross Income		958,615		980,404		4,242,719		1,952,738		2,022,194
Prizes/Winnings		(562,502)		(516,383)		(2,324,249)		(1,138,591)		(1,028,910)
		396,113		464,021		1,918,470		814,147		993,284
Ticket Cost		(344,360)		(379,078)		(1,598,542)		(703,314)		(794,885)
National Lottery Trust Fund		-		(5,946)		-		-		(13,532)
Gross Profit		51,753		78,997		319,928		110,833		184,867
Other Operating Income		11,000		-		19,680		55,001		-
Administrative Expenses										
Salaries & Wages	23,684		23,352		98,102		43,145		45,351	
Employers Pension Contribution	2,158		-		-		4,004		-	
NSITF Contribution	229		-		-		444		-	
ITF Contribution	229		-		-		423		-	
Fees	8,692						9,736			
Professional Fees	5,849		3,410		59,187		13,198		25,258	
Amortisation	32,794		32,794		122,035		65,589		65,589	
Audit Fees			225		3,225.00				225	
Repairs & Maintenance	426		1,078		5,540		997		2,240	
Office Expenses	2,068		9,048		45,525		5,348		17,529	
Electricity & Water Expenses	1,327		1,407		5,058		2,390		2,898	
Motor Running Expenses	102		1,044		3,757		238		1,838	
Printing & Stationeries	-		75		215		376		134	
Depreciation	14,822		15,129		58,147		29,672		30,224	
Transport and Travelling	3,776		10,104		20,195		5,998		13,268	
Lottery License Fee Expenses	-		3,450		13,333		467		6,433	
Corporate Social Responsibility	30		380		1,230		158		850	
Sales and Marketing Promotion	-		161		2,213		-		621	
Fuel, Oil & Lubricant	3,650		2,622		17,015		5,867		5,331	
Directors Sitting Allowance	-				25,050		3,900		11,400	
Communication	494		849		4,493		1,563		2,095	
Staff Welfare			625		4,663				1,280	
Security Expenses	2,400		1,600.00		4,400		3,600		2,400	
Staff Terminal Benefit			1,220		1,220				1,220	
Withholding Tax Paid			-		3,463				-	
Loss on Exchange			-		189				-	
Rent			-		2,500				-	
	102,730		108,572		500,754		197,113		236,184	
Interest on Bank Charges & Overdraft	437		521		2,048		888		4,602	
		(103,167)		(109,093)		(502,801)		(198,000)		(240,786)
Profit /Loss Before Tax		(40,414)		(30,096)		(163,193)		(32,166)		(55,919)

Company Name:	Secure Electronic Technology Plc
Board Listed:	Main Board
Year End:	December
Reporting Period:	Half Year Ended 30th June 2026
Share Price at end of reporting period:	₦0.20 (2026: ₦0.20)

Shareholding Structure/Free Float Status

Description	30-Jun-26		Description	30-Jun-25	
	Unit	Percentage		Unit	Percentage
Issued Share Capital	5,631,540,000	100.00%		5,631,540,000	100.00%
substantial Shareholdings (5% and above)			substantial Shareholdings (5% and above)		
Asset Mgt Corp of Nig	539,183,808	9.57%	Asset Mgt Corp of Nig	539,183,808	9.57%
Securities & Capital Management. co. ltd	575,217,494	10.21%	Securities & Capital Management. co. ltd	555,385,379	9.86%
Nujuum Ventures Limited	663,015,000	11.77%	Nujuum Ventures Limited	663,015,000	11.77%
Strand Capital Partners Limited	755,245,137	13.41%	Strand Capital Partners Limited	889,850,631	15.80%
Total Substantial Shareholdings	2,532,661,439	44.97%		2,647,434,818	47.01%
Director's Shareholdings (direct and indirect), excluding directors with substantial interests					
Mr. Sikiru Baruwa (Indirect- representing NujuumVenture Limited)					
Chief Rasheed Gbadamosi, OFR (Deceased) (Direct)	2,000,000	0.04%	Chief Rasheed Gbadamosi, OFR (Deceased)	2,000,000	0.04%
Mr Tunde Ayeni(Direct)	117,647,058	2.09%	Mr Tunde Ayeni(Direct)	117,647,058	2.09%
Chief Jonathan Olopade, OFR (Deceased) (Direct)	72,170,312	1.28%	Chief Jonathan Olopade, OFR (Deceased) (D	72,170,312	1.28%
Mrs Nwadiuto Iheakanwa(Chief Iwuanyanwu) (Direct)	30,000,000	0.53%	Mrs Nwadiuto Iheakanwa(Chief Iwuanyanwu	30,000,000	0.53%
Mr Ben Bruce [Silverbird Production Limited] (Indirect)	60,000,000	1.07%	Mr Ben Bruce [Silverbird Production Limited]	60,000,000	1.07%
Mr Collins Chikeluba (Direct)	9,999,980	0.18%	Mr Collins Chikeluba (Direct)	9,999,980	0.18%
Otunba Deji Osibogun(Direct)	10,000,000	0.18%	Otunba Deji Osibogun(Direct)	10,000,000	0.18%
Mr Akin Areola(Direct)	2,700,000	0.05%	Mr Akin Areola(Direct)	2,700,000	0.05%
Chief Alex Duduyemi(Direct)	14,000,000	0.25%	Chief Alex Duduyemi(Direct)	14,000,000	0.25%
Chief Mazen Boumatar(Direct)	4,000,000	0.07%	Chief Mazen Boumatar(Direct)	4,000,000	0.07%
Dr. Muyiwa Oladimeji (Line Caro Nig. Ltd) (Indirect)	140,000,000	2.49%	Dr. Muiwa Oladimeji (Line Caro Nig. Ltd) (In	90,000,000	1.60%
Total Directors' Shareholdings	462,517,350	8.21%	Total Directors' Shareholdings	412,517,350	7.33%
Other Influential Shareholdings			Other Influential Shareholdings		
Asset Mgt Corp of Nig	200,000,000	3.55%	Asset Mgt Corp of Nig	184,724,720	3.28%
Basil Patterson Limited	184,724,720	3.28%	Basil Patterson Limited	200,000,000	3.55%
Chief Kola Daisi	240,049,177	4.26%	Chief Kola Daisi	240,049,177	4.26%
Uppingham West Africa Limited	261,714,396	4.65%	Uppingham West Africa Limited	261,714,396	4.65%
Total Other Influential Shareholdings	886,488,293	15.74%	Total Other Influential Shareholdings	886,488,293	11.09%
Free Float in Units and Percentage	1,749,872,918	31.07%	Free Float in Units and Percentage	1,685,099,539	34.57%
Free Float in Value	₦349,974,583.6		Free Float in Value	₦337,019,907.8	

Declaration:

(A) Secure Electronic Technology Plc with a free float percentage of 31.07% as at 30th June 2026, is compliant with The Exchange's free float requirements for companies listed on the main board.